

Week 7: Investment Banks



Week 6: Investment Banks

(originally merchant banks in the UK)

We will examine

- The top players
- Their various roles and functions
- Trends in British investment banking
- Controversial policy issues in investment banking

From *Financial Times* - June 30, 2023

Investment Banking [+ Add to myFT](#)

Bankers' fees plunge to near-decade low owing to deal drought

Industry suffers from wave of job cuts as prolonged M&A slowdown takes its toll

Investment bankers' advisory fees have plunged to the lowest level in almost a decade as the industry suffers from a wave of job cuts because of a prolonged slowdown in deal activity.

Fees for completed [mergers and acquisitions](#) globally plummeted 35 per cent in the first half of the year to \$12.8bn compared with 2022, the lowest level since 2014, according to data provider Refinitiv.

Global M&A fell 38 per cent to \$1.3tn in the first half, the lowest deal volume since the start of the coronavirus pandemic in 2020, as higher rates, stricter antitrust enforcement and geopolitical tensions hit the market.

Investment banks in the news

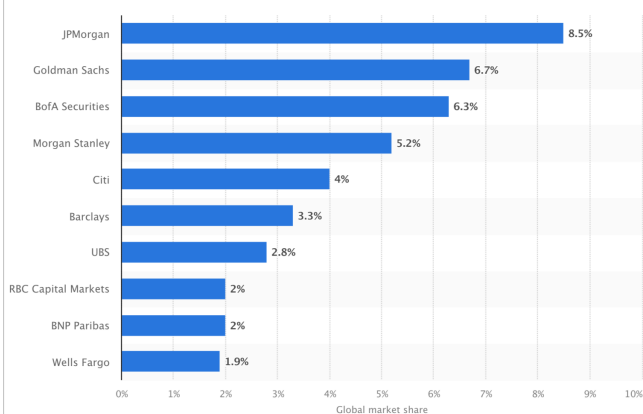
- <https://www.reuters.com/business/finance/deutsche-bank-investment-bank-job-cuts-include-staff-britain-source-2022-10-21/>
- <https://www.efinancialcareers.com/news/2022/10/ubs-bonuses>
- <https://www.theguardian.com/business/article/2024/jul/01/london-investment-bankers-bonuses-interest-rates>

Investment Banks

They are non-depository financial institutions

- They perform a variety of crucial functions in financial markets
 - Underwrite the initial sale of stocks and bonds
 - Deal maker in mergers, acquisitions, and spin-offs
 - Middleman in the purchase and sale of companies
 - Private broker to the very wealthy
- First, a look at the largest investment banks

Global market share of revenue of leading investment banks as of July 2023



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JP Morgan

- [Founded by J.P. Morgan in 1871](#)
- 1895: Famously rescued the U.S. Treasury by organizing a syndicate to supply the federal government with gold
- 1907: J.P. Morgan personally helped stop the Banking Panic of 1907, cementing the bank's reputation
- 1935: Forced to separate commercial and investment banking due to Glass-Steagall Act, creating Morgan Stanley as an investment bank
- 2000: Merged with Chase Manhattan Bank to form JPMorgan Chase
- 2008: Acquired Bear Stearns and Washington Mutual during financial crisis
- Known for its conservative approach to risk management

Goldman Sachs

- Founded by Marcus Goldman in 1869
- 1896: Joined NY Stock Exchange
- 1906: Managed first IPO (Sears, Roebuck and Co.)
- 1929: Created Goldman Sachs Trading Corp, which failed in the crash
- 1999: Went public after 130 years as a partnership
- 2008: Converted to bank holding company during financial crisis
- 2023: Attempted strategic pivot to focus more on consumer banking, then largely retreated
- Famous for its executives turning politicians in the US (e.g., Robert Rubin, Henry Paulson, Steven Mnuchin, all became Secretary of the Treasury)
- Known for involvement in controversies and riskier ventures (compared to JP Morgan)

Investment Banks

Investment banks operate in both the primary and secondary markets.

Their main activities:

- Underwriting Stocks and Bonds
- Investment banks as "Market Makers"
- Equity Research
- Equity Sales
- Mergers and Acquisitions

Underwriting Stocks and Bonds

When a company decides to go public with Initial Public Offering (IPO), they create and sell shares in the stock market. This is called borrowing through equity.

Alternatively, a company can borrow by debt by issuing bonds and selling them in the corporate bond market.

Investment banks make sure that the company raises enough funds by:

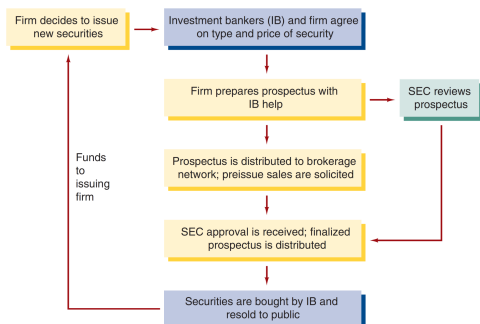
- Giving Advice
 - Explaining current market conditions to help determine what type of security (equity or debt) to offer
 - Assisting in determining when to issue, how many, at what price
- Filing Documents
 - Registration with authorities (filing) is required.
 - A portion of the registration statement known as the **prospectus** is made available to the public.

Underwriting Stocks and Bonds

Underwriting can take three forms:

1. Firm commitment
 - The investment banker buys the entire offering at a fixed price and then resells the offering to the market.
 - An underwriter may form an underwriting **syndicate** to diffuse part of the underwriting risk.
 - Placement of a **tombstone** in the financial press.
2. Best Efforts: the underwriter does not buy the issue, instead makes its "best effort" to sell the entire issue.
3. Private Placements: The entire issue is sold to a small, select group of investors
 - Less regulatory requirements
 - More common in issuing debt (bonds)

Using Investment Bankers to Distribute Securities to the Public in the US stock markets



SEC is the regulatory authority in the US - Securities and Exchange Commission
In the UK - This is the Financial Conduct Authority (FCA)

Investment Banks as “Market Makers”

Secondary market function

- Market Maker is someone who ensures liquidity in the market.
- Investment Banks “make the market” in a certain security by buying and selling it for their own account.
- An investment bank may promise an issuer that, in return for getting the mandate to underwrite and distribute its bonds, the bank will be prepared to buy and sell them (make a market in them).

What is Equity Research?



Equity Research and brokerage (sales and trading)

There are also independent equity research firms

They make money from subscriptions to their research reports

Investment banks with equity research department make money from brokerage trades (i.e. give advice to their clients to buy/sell and execute the following transactions on a commission)

Clients are other financial institutions and companies (i.e. institutional investors: Hedge Funds, Pension Funds, Insurance Companies, Mutual funds, ...etc).

Equity Sales

- when a firm sells an entire division (or maybe the entire company), enlisting the aid of an investment banker.
 - Assists in determining the value of the division or firm and find potential buyers
 - Develop confidential financial statements for the division for prospective buyer (confidential memorandum)
 - Assist with due diligence, and help reach an agreement

Mergers and Acquisitions

- Investment bankers may assist both acquiring firms and potential targets (although not both in the same deal).
- Deal may be a *hostile* takeover, where the target does not wish to be acquired.
- Investment bankers will assist in all areas, including deal specifics, lining up financing, legal issues, etc.

Investment Banking – Market Segmentation

<u>"Bulge" Bracket / Tier 1</u>			
Bank of America	Deutsche Bank	Nomura	
Barclays Capital	Goldman Sachs	Morgan Stanley	
Citi	HSBC	UBS	
Credit Suisse	JP Morgan		
<u>"Middle Market"</u>			
Lazard	Grupo Santander	Commerzbank	Standard Bank
Rothschild	RBC	Lloyds	RBS
Jefferies	Societe Generale	BNP Paribas	Stan Chartd.
Moelis	RBS	BBVA	
Houlihan Lokey			
<u>Boutiques</u>			
<u>Product</u>	<u>Industry</u>	<u>Geography</u>	
Hamilton Ventures	Fox Pitt Kelton (financial services)	Frontier secs (Mongolia)	
(M+A Real Estate)	Delta Partners (TMT)	Cavendish (UK)	
Stormharbour (Trading)		EFG Hermes (ME)	

<https://www.mergersandinquisitions.com/boutique-middle-market-bulge-bracket/>

Banks – How they Differ...

Top 10 Banks	Fees (\$m)	Changes In Fees vs. Prev Period	% of Fees collected by product First Half of 2019			
			M&A	Equity	Bonds	Loans
JP Morgan	3,158.40	-15.22%	27	21	32	20
Goldman Sachs & Co	2,787.58	-13.89%	48	23	20	8
Bank of America Merrill Lynch	2,239.20	-12.84%	22	19	35	25
Morgan Stanley	2,217.10	-20.81%	35	30	28	7
Citi	2,204.73	-9.46%	26	17	37	19
Credit Suisse	1,577.04	-9.25%	25	22	33	20
Barclays	1,468.95	-12.84%	23	14	41	21
Deutsche Bank	1,184.25	-20.73%	23	13	42	22
Wells Fargo & Co	972.90	--	11	9	45	36
HSBC Holdings PLC	960.49	-14.08%	11	8	48	33
Total	45,974.13	-13.44%	28	16	34	22

Data from Jan 1 2018 - Jun 25 2018 and Jan 1 2018 - Jun 25 2018 Data as of Jun 26 2019

Source: Financial Times

Investment Banking Business Model

Fee Structure & Revenue Streams

1. Advisory Fees

- M&A fees: Typically 1-2% of deal value (lower percentage for larger deals)
- Success-based fees: Only paid when deals close
- Retainer fees: Monthly/annual fees for ongoing advisory services

2. Underwriting Fees

- IPO underwriting: Usually 4-7% of total offering
- Bond issuance: 0.1-3% depending on complexity and risk
- Follow-on offerings: Lower fees than IPOs (2-4%)

3. Trading Revenue

- Market making
- Proprietary trading (though restricted post-Dodd-Frank)
- Sales and trading commissions

Career hierarchy in Investment Banking

1. Analyst (Entry Level): Recent graduates with base salary of £50-65K, and bonus ranging from 30-100% of base. London salaries typically higher. Key duties: financial modelling, presentations, research
2. Associate: After 3-4 years of experience with direct promotion or after a relevant Masters degree. Base salary: £80-120K. Bonus: 50-100% of base. Responsibilities: Team management, client interaction
3. Senior Associate
4. Vice President
5. Director/Executive Director
6. Managing Director

What happened to British Investment Banking?

- The collapse of Barings in 1995
 - One of the Singapore based employees of London's Barings Bank, Nick Leeson, lost £827 million (US\$1.4 billion) - primarily on futures contract speculation. Leeson's actions led the oldest merchant bank to default on its debts.

Since then, American and European banks came to dominate investment banking in the UK.

Check out the Financial Times article, "The Fall and Decline of British investment Banking" in this week's folder on BB.

Investment banking as a career?

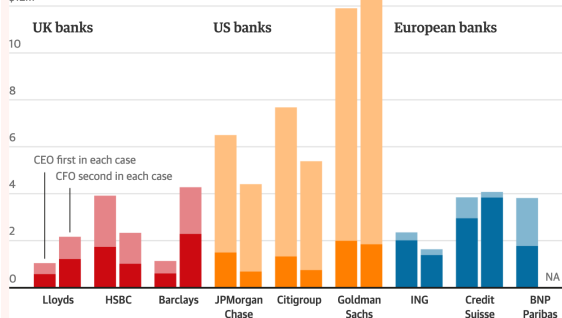
- Really long hours of work
 - <https://www.bbc.co.uk/news/business-58054983>
- Controversy over executive pay and bonuses is an ongoing issue in investment banking
- After the financial crisis of 2008, backlash against banker's bonuses everywhere
- In June 2014, EU parliament passed the "EU banker bonus cap".
 - The UK government first sued EU over the cap, then withdrew its challenge.
- <https://www.theguardian.com/business/2023/oct/24/uk-financial-regulators-scrap-cap-on-bankers-bonuses>

Britain's banks can give executives bonuses of more than 200% of their salary now that the cap has been lifted

Bank executives' salaries and bonuses, financial year 2021

■ Salary ■ Bonus

\$12m

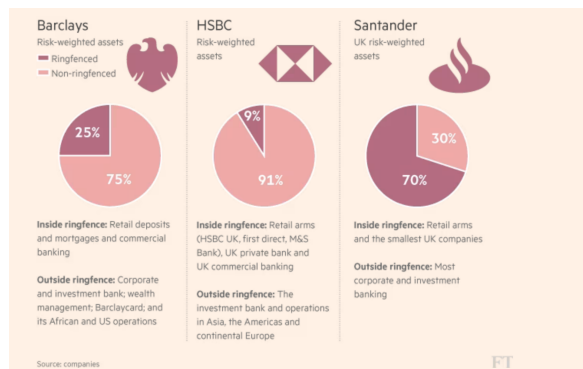


Guardian graphic. Source: S&P Global Market Intelligence. Note: figures reported in other currencies where converted to US dollars using the exchange rate as of 15 September 2022. Data on the CFO's salary and bonus was not available for BNP Paribas

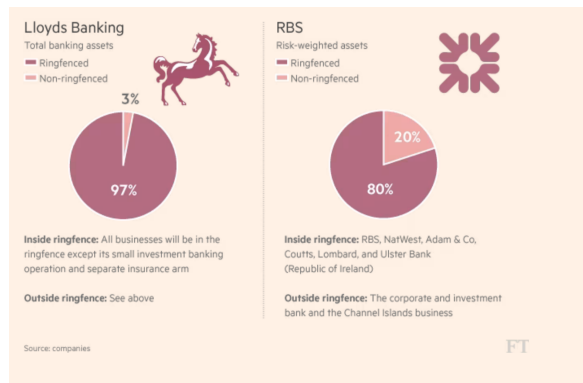
Ringfencing was another controversial issues of the last decade

From Bank of England, “Ring-fencing in the UK”

From the Financial Times, “Banks do Not Want Ringfencing”



Source: Financial Times, “Banks hail concession on ringfencing” October 15, 2015



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